

KAPCHORUA TEA COMPANY LIMITED
UNAUDITED RESULTS FOR THE 6 MONTHS ENDED 30 SEPTEMBER 2014

STATEMENT OF COMPREHENSIVE INCOME

	30.09.2014 Kshs'000	30.09.2013 Kshs'000
Turnover	525,849	523,390
Profit/(loss) from operations before biological assets valuation	32,052	(15,331)
Increase in fair value of biological assets	27,059	124,299
Finance income	9,051	974
Profit before taxation	68,162	109,942
Tax charge	(20,449)	(32,983)
Profit for the year	47,713	76,959
Comprising:		
Profit/(loss) arising from operating activities	28,772	(10,050)
Profit arising from changes in fair value of biological assets	18,941	87,009
	47,713	76,959
Issued Shares of Kshs 5 each	3,912,000	3,912,000
Earnings per share (Kshs)	12.20	19.67

STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Capital Reserves Kshs'000	Revenue Reserves			Total Kshs'000
			Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000	
Balance at 1 April 2013	19,560	168,443	455,851	640,159	1,096,010	1,284,013
Total comprehensive income for the year			87,009	(10,050)	76,959	76,959
Dividend paid - 2013			-	(29,340)	(29,340)	(29,340)
Balance at 30 September 2013	19,560	168,443	542,860	600,769	1,143,629	1,331,632
Balance at 1 April 2014	19,560	150,903	504,719	705,483	1,210,202	1,380,665
Total comprehensive income for the year			18,941	28,772	47,713	47,713
Dividend paid - 2014			-	(19,560)	(19,560)	(19,560)
Balance at 30 September 2014	19,560	150,903	523,660	714,695	1,238,355	1,408,818

COMMENTARY ON THE RESULTS

The first half of the year has been very challenging as the crop and stock levels continued to rise resulting to a weak market with depressed tea prices. Turnover increased marginally while operating profit was better than last year due to volumes sold despite the low prices. The cost of doing business however continues to be a major concern even as a consensus is yet to be reached with the labour unions on the 2014 and 2015 wage rates. During the period under review, the Kenya Shilling weakened slightly against the major currencies compared to prior year thus boosting the net realisations. The Company is also grappling with the uncertainty on the Land ownership under the Current Constitution due to Foreign ownership restrictions. We however hope that the National Government will give clear guidance on the leases through National Land Commission.

PROSPECTS

There are no indications of the global tea market picking up in the near future. As the weather continues to be favourable, we expect that the crop and stock levels will continue to rise depressing the tea prices further. The County Governments have prepared their budgets which appear to impose more taxes on firms operating within their jurisdictions. The labour unions are pressing for higher wages despite the economic conditions currently prevailing in the tea sector. The Board continues to look into cost effective ways of running the Company operations under the circumstances even as the remaining months to year end are likely to more challenging.

PROFIT WARNING

Based on the above stated factors and in accordance with Regulations G.05(1) (f) and (2) of the Capital markets Securities and Public Offers and Listings and Disclosures Regulations, 2002, the second half of the year results are unlikely to attain results close to last year's levels. It is therefore reasonable at this time to to anticipate earnings for the financial year ending March 2015 to be lower than the previous year's earnings by at least 25%.

STATEMENT OF FINANCIAL POSITION

	30.09.2014 Kshs'000	30.09.2013 Kshs'000
Capital and reserves		
Share Capital	19,560	19,560
Capital reserves	150,903	168,443
Revenue Reserves	1,238,355	1,143,629
Shareholders funds	1,408,818	1,331,632
Non current Liabilities		
Deferred Taxation	338,369	351,722
Employee benefit obligations	105,889	90,513
	444,258	442,235
	1,853,076	1,773,867
REPRESENTED BY:		
Non current assets		
Property , Plant and Equipment	391,311	398,519
Prepaid Operating Lease Rentals	21,655	21,681
Investments	717	717
Biological Assets	915,518	938,263
	1,329,201	1,359,180
Current Assets		
Inventories	225,416	243,665
Trade and other receivables	471,188	231,727
Due from related companies	7,528	9,109
Taxation	5,705	2,582
Bank & Cash	14,163	130,147
	724,000	617,230
Current Liabilities		
Trade and other payables	104,587	127,377
Due to related companies	44,950	75,166
Bank Overdraft	50,588	-
	200,125	202,543
	1,853,076	1,773,867
	-	-
STATEMENT OF CASH FLOWS	30.09.2014 Kshs'000	30.09.2013 Kshs'000
Operating activities		
Deficit generated from operations	(132,663)	(129,845)
Interest paid	(825)	(506)
Interest received	-	5,161
Tax Paid	(125)	(16,242)
	(133,613)	(141,432)
Investing activities		
Purchase of Plant and equipment	(16,650)	(16,393)
Proceeds from disposal of Plant and Equipment	2,645	578
Expenditure on biological assets	(4,373)	(2,623)
	(18,378)	(18,438)
Financing activities		
Dividends paid	(19,092)	(20,755)
	(19,092)	(20,755)
Decrease in cash and cash equivalents	(171,083)	(180,625)
Movement in cash and cash equivalents		
At 1 April	134,658	310,772
Decrease	(171,083)	(180,625)
At 30 September	(36,425)	130,147